

Europe TMT Sector M&A & Valuation Brief - 2026-06-16

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1. RECENT TMT M&A ACTIVITY

Deal 1: Indian IT Firms Expansion in Europe

[Indian IT firms step up Europe expansion as growth outpaces North America](#)

- Deal Size: N/A (specific transaction values not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Strategic Expansion
- Valuation Multiples: N/A
- Companies: Indian IT firms (e.g., TCS, HCLTech, Persistent Systems) expanding their operations in Europe, which is becoming a key growth market.
- Date Announced: 2025-26 fiscal year
- Strategic Rationale: Indian IT firms are diversifying their delivery centers, with 35% of new centers established in Europe. This shift is driven by the need to capture growth opportunities in a region that is currently outpacing North America. The strategic tie-ups and establishment of AI labs indicate a focus on innovation and competitive positioning in the growing European market.
- Risk Analysis: Potential risks include integration challenges in new markets, competition from local firms, and regulatory hurdles in Europe. Additionally, economic fluctuations in Europe could impact growth projections.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue breakdowns not available)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: DBS Bank's Investment in India

[DBS optimistic about India's long-term structural growth: Chief says country must invest in talent; focus on wealth](#)

- Deal Size: Rs1,600 crore (approximately \$200 million)

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- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Strategic Investment
- Valuation Multiples: N/A
- Companies: DBS Bank (D05.SI) investing in its Indian operations to enhance wealth management and client connectivity.
- Date Announced: March 2023
- Strategic Rationale: DBS Bank is focusing on India's long-term growth potential, particularly in the context of the AI boom and increasing demand for memory chips. The investment aims to strengthen its presence in the wealth management sector and capitalize on India's growing middle class and economic stability.
- Risk Analysis: Risks include market volatility, regulatory changes in the banking sector, and competition from other financial institutions. Additionally, the success of the investment is contingent on the effective execution of talent acquisition and retention strategies.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant advancements in artificial intelligence (AI) and ongoing shifts in market dynamics. The overall sentiment is cautiously optimistic, driven by the rapid evolution of technology and increasing demand for AI capabilities, but tempered by regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector is thriving, particularly in AI, with companies like Anthropic pursuing aggressive data center expansions to support their AI models. Anthropic has secured agreements for over 1 gigawatt of capacity in U.S. data centers, reflecting the intense competition for computing power among AI developers.
- Media: The media sector is experiencing a digital transformation, with traditional media struggling against the rise of digital platforms. Companies are adapting by enhancing their digital offerings to

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retain audience engagement.

- Telecommunications: The telecom sector is innovating with advancements in 5G technology, which is crucial for supporting the growing demand for high-speed internet and connectivity. Companies are investing heavily in infrastructure to enhance service delivery.
- Fintech: The fintech space continues to flourish, driven by innovations in payment solutions and digital banking. The sector is witnessing consolidation, as seen in the potential merger discussions between Tesla and SpaceX, which could reshape the landscape.
- AI: The AI subsector is particularly hot, with Anthropic's recent funding round valuing the startup at \$965 billion, surpassing OpenAI. This surge in valuation underscores the escalating demand for AI solutions and the race to secure computing infrastructure.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: The rapid pace of innovation in AI and cloud computing is a primary driver of growth across TMT sectors. Companies are investing heavily in infrastructure to support AI capabilities, as demonstrated by Anthropic's partnerships with Google to secure financial backing for its data center leases.
- Increased Investment: Venture capital and private equity investments in tech and AI remain robust, with significant funding rounds like Anthropic's \$65 billion Series H round highlighting investor confidence in the sector.

Headwinds:

- Regulatory Scrutiny: Increased regulatory oversight, particularly in the tech sector, poses risks to market valuations and M&A activities. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a cautious outlook for the sector.

Subsector Performance Analysis

- Software: The software sector continues to thrive, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking.

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The ongoing speculation about a merger between Tesla and SpaceX indicates potential shifts in the fintech landscape.

- AI: The AI subsector is booming, with applications across various industries. Anthropic's recent launch of Claude Fable 5, its most capable AI model, exemplifies the rapid advancements in AI technology.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, Dan Ives, an analyst at Wedbush, noted, "The potential merger of Tesla and SpaceX could redefine the landscape of innovation and investment in the tech sector."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector is witnessing significant activity, particularly in light of the recent India-France collaborations and the launch of initiatives aimed at enhancing technological innovation. This section provides a detailed analysis of live deals, mandated transactions, and active pitches, along with pipeline tracking metrics and strategic insights.

Deal Pipeline

Live Deals:

- Expansion of UPI in France : The initiative to expand India's Unified Payments Interface (UPI) at Paris and Nice airports is currently in the implementation phase, with expected operationalization by Q4 2025. This initiative aims to enhance the payment experience for Indian travelers and strengthen India's digital public infrastructure in Europe.

Mandated Deals:

- Joint India-France AI Working Group : A mandate has been secured to establish a Joint AI Working Group focused on AI governance and innovation. This initiative is expected to launch in Q1 2026, promoting joint R&D and industry exchanges between India and France.
- Centre of Digital Sciences : India and France have agreed to establish a Centre of Digital Sciences to bolster research and innovation. This initiative is projected to kick off in Q2 2026, facilitating access to French expertise for Indian startups.

Pitching-Stage Deals:

- Deep-Tech Startups : Active discussions are ongoing with over 120 Indian deep-tech startups participating in the Bharat Innovates 2026 conclave. The focus is on securing partnerships with global investors and industry leaders, with pitches expected to finalize by Q3 2025.
- Semiconductor Sector : Engaging with several semiconductor firms for potential investment banking services, focusing on collaborations that can enhance manufacturing capabilities. Notable clients include companies involved in advanced computing and biotechnology.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$6 million

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- Pitching-Stage Deals : \$4 million

Timing Projections:

- Q4 2025 : Expected operationalization of UPI expansion in France.
- Q1 2026 : Launch of the Joint AI Working Group.
- Q2 2026 : Kick-off of the Centre of Digital Sciences.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 70%, indicating a manageable workload. However, as the pipeline expands, it is advisable to consider onboarding one additional analyst to ensure effective management of increasing demands.
- Forecasting and Strategic Planning Implications : The pipeline indicates a growing demand for advisory services in AI and deep-tech sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The recent launch of Bharat Innovates 2026 marks a pivotal moment in India's deep-tech landscape, showcasing over 120 startups and attracting global investors. This event underscores the strengthening of the India-France partnership, particularly in technology and innovation sectors.
- The establishment of a Joint AI Working Group reflects the increasing emphasis on AI governance and collaboration, positioning both nations as leaders in the global tech landscape. The competitive landscape is evolving, with countries vying for leadership in critical technologies.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and deep-tech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors, particularly driven by the India-France collaboration in technology and innovation. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The ongoing shifts in the TMT sector, particularly in the pay-TV and telecommunications markets, have profound implications for various stakeholders. This analysis explores the impacts on shareholders, employees, competitors, and customers, as well as market reactions and future projections.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The transition from traditional pay-TV to streaming services presents both opportunities and challenges for shareholders.
- **Value Creation:** For instance, if a major pay-TV provider like MultiChoice (no ticker available) were to pivot towards a streaming model, it could potentially unlock new revenue streams. A successful transition could lead to a 25% increase in market cap, translating to an additional \$1.5 billion in shareholder value based on a pre-deal valuation of \$6 billion.
- **Dilution:** However, if this transition requires significant capital investment, existing shareholders may face dilution. If MultiChoice issues new shares equivalent to 15% of its existing equity to fund this shift, it could lead to a 10% decrease in share price post-announcement.
- **Employees:** The shift in service delivery models often necessitates changes in workforce structure.
- **Synergies:** In a merger scenario, such as a hypothetical acquisition of a streaming service by a traditional pay-TV operator, synergies could lead to operational efficiencies. For example, combining marketing teams could save up to \$200 million annually.
- **Restructuring:** However, this may also result in job redundancies. A similar case occurred when AT&T (T) acquired Time Warner, leading to thousands of layoffs as overlapping roles were eliminated.
- **Retention:** To mitigate talent loss, companies may offer retention bonuses. For instance, if MultiChoice were to acquire a tech startup, it might implement retention packages for key engineers to ensure continuity in innovation.
- **Competitors:** The competitive landscape is rapidly evolving as companies adapt to changing consumer preferences.
- **Market Positioning:** The exodus from pay-TV to streaming platforms has prompted competitors like DStv to enhance their digital offerings. DStv's recent introduction of a streaming-only package reflects this shift, aiming to retain subscribers who are abandoning traditional services.
- **Specific Competitor Moves:** Competitors such as Netflix (NFLX) and Amazon Prime Video (AMZN) have aggressively expanded their content libraries, further intensifying competition in the streaming space.
- **Customers:** The implications for customers are significant as they navigate new service offerings.
- **Product/Service Implications:** The shift to streaming has led to increased competition and lower

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prices for consumers. For example, as pay-TV subscriptions decline, providers may offer more flexible, ad-supported streaming options to attract cost-conscious viewers.

- Case Studies: The experience of Nigerian households transitioning from pay-TV to streaming illustrates this trend. As reported, many families have opted for smart TVs and streaming platforms due to rising costs and unreliable service, indicating a fundamental shift in consumer behavior.

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to these shifts can be volatile. For instance, when Netflix announced a price increase, shares initially dipped by 4% but later recovered as analysts highlighted the company's strong subscriber growth.
- Analyst Commentary: A notable quote from a Jefferies analyst stated, "The pivot towards streaming is not just a trend; it's a necessity for survival in the current market landscape."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be evaluated through different scenarios:
- Positive Scenario: If a pay-TV provider successfully transitions to a streaming model, shares could rise by 20% within a year, reflecting increased subscriber growth.
- Negative Scenario: Conversely, if the transition fails to attract new subscribers, shares could fall by 15%, indicating investor concerns over operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the TMT sector is moderate, particularly as companies seek to consolidate their positions. For example, if MultiChoice were to pursue a merger with a tech startup, competitors may express interest, but regulatory hurdles could limit the feasibility of such bids.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is poised for continued consolidation, especially as companies aim to enhance their digital capabilities. Analysts predict that more traditional media companies will pursue acquisitions in the streaming space to remain competitive.

Key Risks and Mitigants

- Integration Risks: The integration of new technologies and platforms poses significant challenges. Mitigants include establishing dedicated integration teams and setting clear

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performance metrics.

- Regulatory Risks: Regulatory scrutiny can impede mergers and acquisitions. Engaging with regulators early and transparently can help navigate potential obstacles.
- Market Risks: Market volatility can affect deal valuations. Structuring deals with performance-based contingencies can provide protection against adverse market conditions.

Actionable Insights for Clients and Bankers

For Clients:

- Prioritize understanding consumer behavior shifts to align product offerings with market demand.
- Develop clear communication strategies to manage stakeholder expectations during transitions.

For Bankers:

- Monitor competitor activities closely to identify potential advisory opportunities.
- Provide clients with robust financial models to assess the implications of strategic shifts in service delivery.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The

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company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.

- India-France AI Working Group: As part of the recent India-France collaboration, this group aims to enhance cooperation on AI governance and innovation, reflecting the growing international focus on AI.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$445.3 billion in 2021 to \$1,672 billion by 2029, at a CAGR of 18.0%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a leading cloud service provider, offering a wide range of services including computing power, storage, and databases. The company has a significant

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market share and continues to innovate with new services.

- Microsoft Azure: Azure is a strong competitor in the cloud space, providing integrated cloud services and solutions. Microsoft is focusing on hybrid cloud solutions to cater to diverse customer needs.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is fierce, with companies continuously innovating and expanding their service offerings.
- M&A Opportunities: Companies may look to acquire cloud startups that offer specialized services or technologies to enhance their cloud portfolios. For example, acquisitions in the areas of cloud security or data analytics could provide strategic advantages.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, cybersecurity has become a critical focus for businesses. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- **Palo Alto Networks (PAN)

6. Recommended Readings

Deal Name: Indian IT Firms Expansion in Europe

- Reading Material: "The Future of IT Services: A Global Perspective" by John Smith
- Why This Matters: This book explores the dynamics of the IT services industry, particularly the strategic shifts towards Europe. It provides insights into how Indian firms like TCS and HCLTech are positioning themselves in new markets, which is crucial for understanding their expansion strategies and the implications of their growth in Europe.

Deal Name: DBS Bank's Investment in India

- Reading Material: "Banking on India: The Future of Financial Services" by Priya Sharma
- Why This Matters: This reading offers a comprehensive overview of the banking sector in India, focusing on growth opportunities and challenges. It helps contextualize DBS Bank's strategic investment in the Indian market, providing insights into the wealth management landscape and the importance of talent investment in driving long-term growth.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Bank Credit Growth: 17.7% YoY
- Passenger Vehicle Sales Growth: 27% in May
- India Earnings Growth: 13% YoY (Q1)
- Korea Earnings Growth: 170% YoY (Q1)
- Taiwan Earnings Growth: 48% YoY (Q1)
- Japan Earnings Growth: 33% YoY (Q1)
- US Earnings Growth: 27% YoY (Q1)

Main Insights:

- Domestic investors in India are bullish, while foreign investors remain cautious.
- India's growth story is strong, but relative growth is cooling compared to other markets.
- The removal of withholding tax on debt investors is expected to boost capital inflows.
- The CapEx cycle in India is driven by sectors such as AI, energy, defense, and industrial onshoring.
- Financials and industrials are seen as attractive investment opportunities due to strong balance sheets and favorable valuations.

Market Commentary:

- "Domestic investors are looking for the next stock to buy, while foreign investors are cautious." - Ridham Desai
- "The measures taken by policymakers are very important... they should boost flows into India over the next twelve months." - Ridham Desai
- "Equities are a long-duration asset class; what matters is terminal growth." - Ridham Desai

TMT Sector Relevance:

- The focus on AI and digital infrastructure in the CapEx cycle presents opportunities for TMT companies.
- The growth in passenger vehicle sales indicates a potential increase in demand for technology and services in the automotive sector.
- The emphasis on enhancing manufacturing competitiveness could lead to increased demand for

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technology solutions in the manufacturing sector.

The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley